

DISTRIBUTIONAL IMPACT OF FISCAL POLICY

Mauritius' supportive fiscal policies have helped reduce poverty and inequality in recent years. At the same time, the underlying fiscal expansion has contributed to a deterioration of the fiscal position. With currently limited fiscal space to support long-term growth, Mauritius aims to rebuilding policy buffers through fiscal consolidation while preserving the recent gains in social and poverty indicators. Analysis based on the 2023 household survey data suggests that there is room to make savings on social expenditure and increase tax revenue. Policies to achieve this may include better targeting of social benefits and reforming the VAT and PIT through streamlining of exemptions and allowances and reducing the tax payment threshold. It should be possible to implement these measures while continuing to protect the poor and the vulnerable.

A. Background

1. Social protection has featured prominently in Mauritius' policy goals in recent years.

As the authorities aspire to place Mauritius among high-income and developed countries, fiscal policy in recent years has tilted towards achieving social goals. A significant increase in social transfers and pensions, as well as introduction of new allowances and bonuses, have significantly increased current spending following the pandemic. This social orientation of fiscal policy contributed to higher household income and consumption, thereby helping reduce the national poverty rate when assessed from an income-based approach.

2. At the same time, the fiscal expansion has contributed to a higher public debt-to-GDP ratio. The stock of public debt increased by almost 30 ppt of GDP to around 90 percent of GDP between end-June 2019 and end-June 2025. While the fiscal expansion was accompanied by poverty and inequality reduction, capital spending—important to support long-term growth—has stagnated. Looking forward, the authorities aim to support growth through higher capital spending, but the fiscal space to do so is currently limited. Against this backdrop, this paper focuses on the challenge to restore fiscal space through fiscal consolidation while preserving recent gains in social and poverty indicators.

3. This paper assesses the extent to which Mauritius can recalibrate its fiscal policy to restore fiscal sustainability while protecting the poor and the vulnerable. Section B takes stock of the evolution of poverty and inequality in recent years. Section C discusses potential options to reform social transfers and tax exemptions while safeguarding poverty objectives. Section D concludes.

B. Recent Trends in Poverty and Inequality

4. Mauritius has made significant progress in poverty reduction. The latest Household Budget Survey (HBS) was conducted in 2023. According to the authorities' estimate (based on Mauritius' national poverty line), the national relative poverty rate fell from 9.6 percent in 2017 to

7.3 percent in 2023.¹ Adopting the World Bank's poverty line for upper middle-income countries of US\$ 6.85 per person per day, the estimated poverty rate in 2023 would be slightly higher at 7.5 percent, lower than in many small island states, though generally higher than in OECD countries

5. The poverty rate is fairly equal across gender but varies considerably by education. The difference between women and men in poverty rates is minimal, with women's rate only 0.4 ppt higher. However, there is a notable difference when it comes to education. The poverty rate reaches around 11 percent for households with completed primary education only, compared to around 2 percent for those with upper secondary education. The poverty rate is also strikingly higher in Rodrigues compared to other regions of Mauritius.

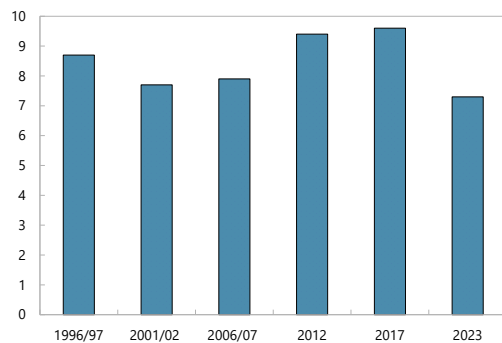
6. Supportive government policies have contributed to poverty reduction. While the labor force and productivity have declined in recent years, substantial government policies in the form of broad-based subsidies and targeted allowances have helped maintain adequate income to low-income individuals. As a result, household income and expenditure are estimated to have increased by about 22 and 18 percent in real terms, respectively, between 2017 and 2023. Statistics Mauritius estimates that, absent social support measures, the poverty rate would have been substantially higher.

7. Employment status, gender, education, and age are important predictors of individual income (Annex 1). As the poverty measure used in this paper is based on income, a look at the determinants of income is useful. The analysis shows that, as expected, being unemployed is highly associated with lower income. Female is associated with earning around 28 percent lower income. Primary education achievers are associated with 14 percent higher income relative to those who did not complete primary education. The return is even higher for secondary school graduates whose income is 62 percent higher than those who did not complete primary education. Also, as expected, income is nonlinearly related to age. That is, income increases with age until a certain point, after which it declines (as corroborated by the negative coefficient associated with the square of age). These results also hold qualitatively when the dependent variable is the index of asset ownership rather than income. There are also important seasonal and regional variations. On average, income tends to be lower during the cyclone season than otherwise, and significantly lower in Rodrigues than in other regions.

8. Inequality has also declined in recent years. Based on the HBS2023 data, the estimated Gini coefficient at the household level is 0.33 in 2023, down from 0.40 in 2017. As with poverty, the index of inequality tends to be substantially higher in the outer Rodrigues region.

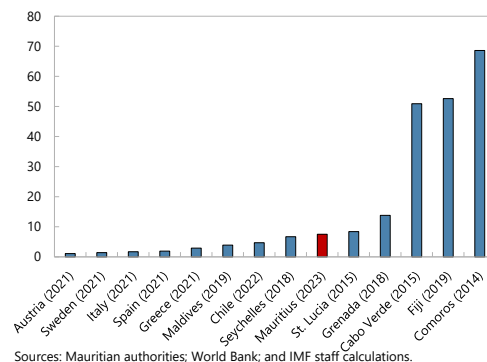
¹ The poverty rate is computed as the percentage of households possessing a monthly net income per adult equivalent below the national poverty line. The poverty line, estimated at Rs 12,378, is computed as half of the median of household net income per adult equivalent. The number of adult equivalents (E) is estimated such that $E = (A + 0.7 \cdot C)^{0.7}$, where A is the number of adults in the household (aged 16 years and over) and C is the number of children (aged below 16 years).

Figure 1. Mauritius: Proportion of Households in Relative Poverty, 1996/97–2023
(in percent)



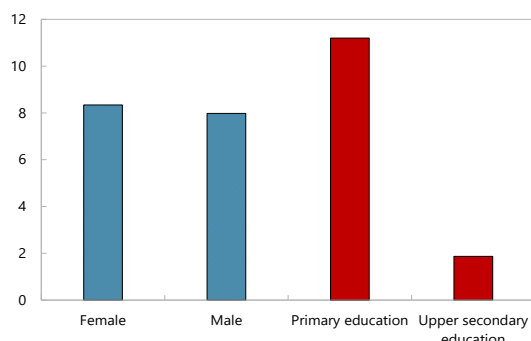
Sources: Mauritian authorities; and IMF staff calculations.

Figure 2. Selected Economies: Poverty Rate Based on International Poverty Line of US\$6.85 a Day
(in percent)



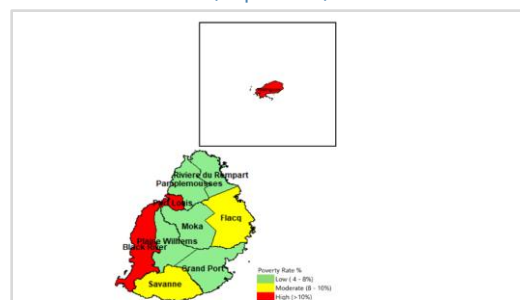
Sources: Mauritian authorities; World Bank; and IMF staff calculations.

Figure 3. Mauritius: Poverty Rate, 2023
(in percent)



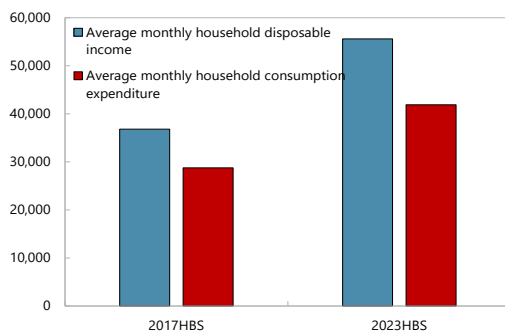
Source: IMF staff estimates based on the 2023 Household Budget Survey.

Figure 4. Mauritius: Poverty Rate by District, 2023
(in percent)



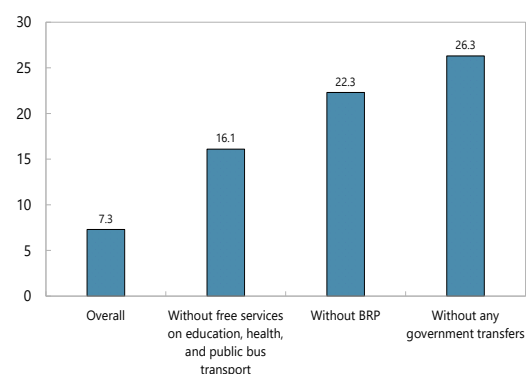
Sources: IMF staff estimates based on the 2023 Household Budget Survey.

Figure 5. Mauritius: Household Income and Expenditure
(in rupees)

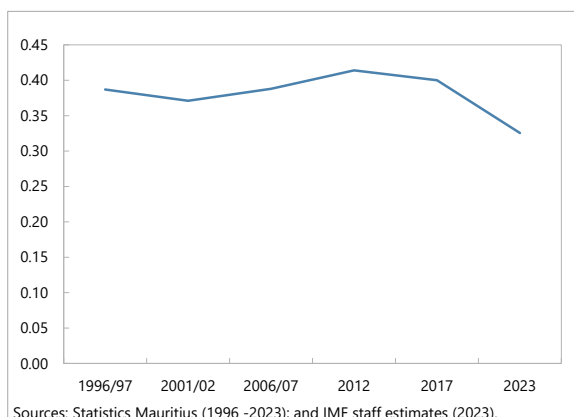


Source: Statistics Mauritius.

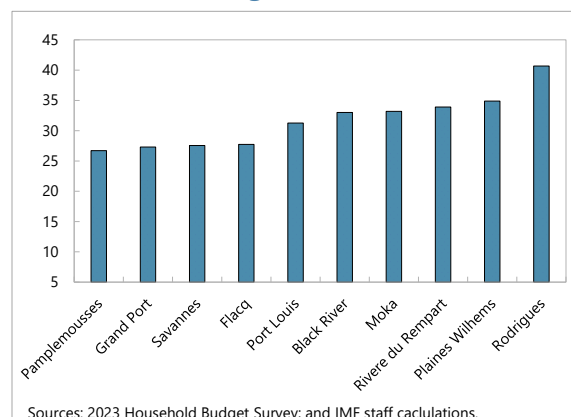
Figure 6. Mauritius: Poverty Rate, 2023
(in percent of households)



Sources: Ministry of Finance; Statistics Mauritius; and IMF staff calculations.

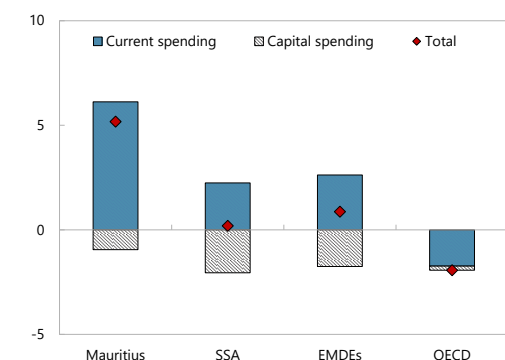
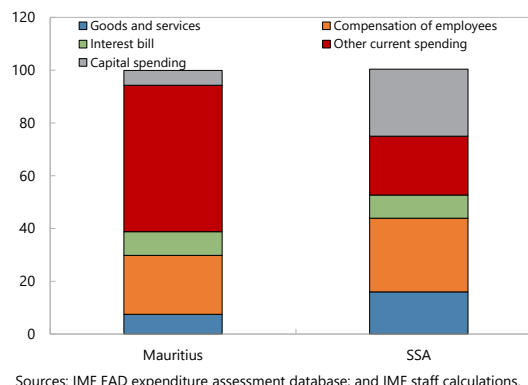
Figure 7. Mauritius: Inequality GINI Index, 1996–2023

Sources: Country authorities' and IMF staff calculations

Figure 8. Mauritius: Inequality GINI Index by Region, 2023

C. Addressing Poverty Through Fiscal Policy

9. Poverty-reducing fiscal policy has contributed to higher private consumption but also higher public debt. Relatively generous social protection transfers and entitlements have helped reduce poverty. At the same time, they have contributed to a notable increase in public current spending in recent years, which is significantly higher in Mauritius compared to other countries, including many small islands. On the other hand, the relatively high import content of Mauritius' consumption basket reduces the growth multiplier effect from higher public current transfers, which has delivered a higher public debt close to 90 percent of GDP by end-June 2025.

Figure 9. Mauritius: Change in Total Spending, 2010–2022
(in percent of GDP)**Figure 10. Mauritius and SSA: Economic Classification, 2022**
(in percent of total)

10. While supportive fiscal policies have helped reduce poverty by preserving income, there seems to be room to contain fiscal spending while protecting the poor. There is room to improve the targeting of existing social benefit programs while protecting the poor. For the six social programs considered (Table 1), low-income individuals, compared to their higher income counterparts, account for a much smaller share among the beneficiaries. For example, only 11 percent of the beneficiaries of the BRP (universal) old-age pension are low income. This significant imbalance is evident also for the other five programs. This suggests that the targeting could be improved while continuing to protect the poor. That is, it appears possible in principle to reduce social benefit spending, notably the BRP, by targeting it to those most in need without increasing poverty.

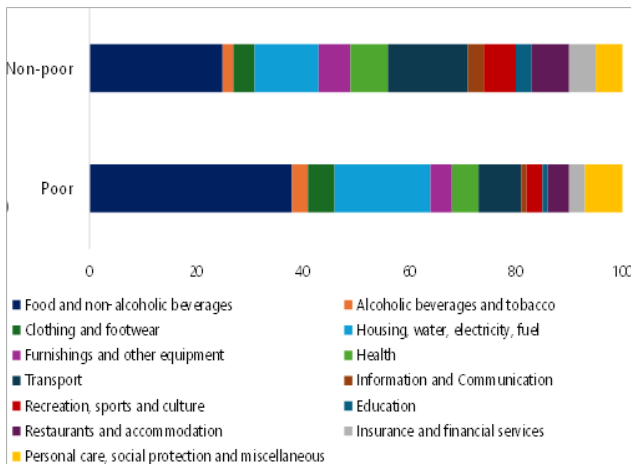
Table 1. Mauritius: Share of Low-Income Recipients of Social Benefits, 2023
(In percent of total number of benefit recipients)

Benefit Type	Poor	Non-poor
Old age pension (BRP)	11.0	89.0
Basic Widow Pension/Child Allowance	17.5	82.5
Basic Invalid Pension/Carer's Allowance	14.4	85.6
Social aid (medical, spouse, rent allowance, etc.)	15.0	85.0
Other social benefits (unemployment, hardship relief, food aid, fisherman's)	15.1	84.9
Scholarship grants	15.0	85.0

Source: 2023 Household Budget Survey and IMF staff estimates.
Note: Beneficiaries' incidence shows the proportion of beneficiaries in each group.

11. There seems to be room to make VAT exemptions more progressive while mobilizing more revenue. Presently, VAT exemptions apply to products including wheat, cereal flours, bread, primary agricultural and horticulture produce, and various other foods. These exemptions provide some progressivity to the VAT framework (as suggested by the higher share of food in the household budget for lower-income households), while also benefiting higher-income households who consume them. Furthermore, luxury products such as entrance fees to cinemas, concerts, and shows, and aircraft leasing are exempted, though entertainment accounts for a small fraction of the budget of low-income households. As a result, although the statutory VAT rate is 15 percent, staff's calculations based on the World Bank Enterprise Survey data show that, in Mauritius, the average effective rate of consumption taxes, mostly the VAT, is much lower at 6.5 percent. These features of the present VAT framework may be updated to further reduce its regressivity. Removing or better targeting the exemptions could help increase VAT revenue without reducing protection for the most vulnerable as, for example, part of the extra revenue could be used to finance targeted transfers to low-income households.

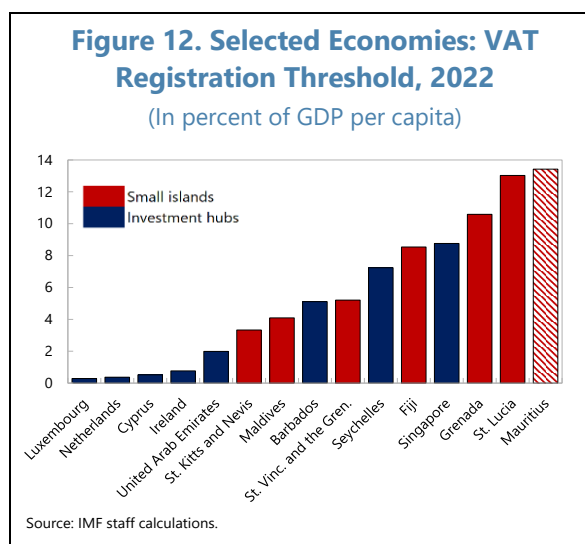
Figure 11. Mauritius: Consumption Share of Household Budget, 2023
(in percent)



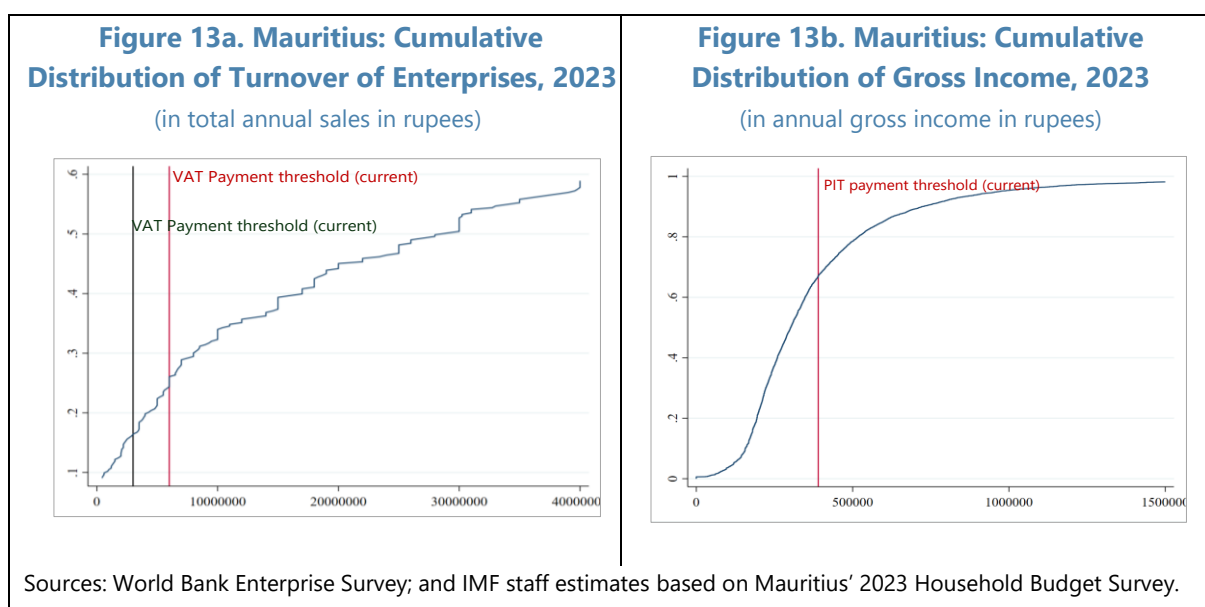
Source: Household Budget Survey; and IMF staff calculations.

12. There is room to lower the VAT payment threshold and still protect the most vulnerable SMEs.

The VAT payment thresholds in Mauritius is among the lowest compared to both other small islands and investment hubs, suggesting that the threshold could be reduced while still protecting low-income SMEs. The current VAT payment threshold is annual turnover of Rs 6 million, which covers about one in every four companies. Calculations based on data from the World Bank's 2023 Enterprise Survey suggests that lowering the threshold to Rs 3 million would turn an additional ten percent of enterprises into taxpayers, generating additional Rs 4 billion (or 0.6 percent of GDP) in revenue.² Such reform would still allow around 15 percent of enterprises to remain exempted from VAT, hence addressing distributional concerns.



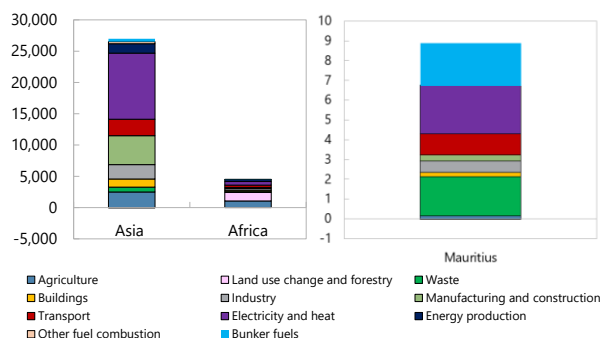
13. The personal income tax (PIT) system is also relatively generous. A more differentiated rate schedule was introduced in 2023, removing some distortions and increasing the progressivity of the PIT. However, the PIT remains relatively generous, exempting annual gross income below Rs 390,000. The HBS2023 data show that over 60 percent of income earners have incomes below that threshold, making them effectively tax exempt. This keeps a large share of the population outside of the tax base, lowering the average tax rate for most taxpayers, including very high earners.



² The revenue yield of Rs 4 billion is calculated by multiplying the proposed change in the threshold (Rs 3 million) by the number of companies with turnover of Rs 3-6 million, adjusted by the C-efficiency of VAT of 55 percent.

14. Removal of some excise duty exemptions may also help improve tax progressivity and increase revenue. Mauritius' tax policy currently grants excise duties on the import of electric vehicles. This costs the budget an estimated 0.1 percent of GDP in foregone revenue every year. At the same time, HBS 2023 data show that only around 30 percent of low-income households possess a vehicle, compared to 64 percent of higher-income households. This contrast is arguably larger with regards to electric cars which are typically more expensive. Based on these figures, it is estimated that unwinding the excise duty exemptions on electric vehicles would have a relatively small negative effect on low-income households (as the number of low-income households purchasing electric vehicles is negligible), while it would help increase revenue.

Figure 14. Selected Economies: CO₂ Emissions by Sector and Region, 2021
(In millions of tons of CO₂)



Sources: Our World in Data; and IMF staff calculations.

D. Conclusions

15. There seem to be room to rebuild fiscal policy buffers in Mauritius while preserving recent gains in social and poverty indicators. Supportive fiscal policies have helped reduce poverty and inequality in recent years. The social orientation of fiscal policy has contributed to higher household income, helping reduce poverty. With poverty down to a relatively low level, there is room to make savings on social expenditure and increase tax revenue. This could be achieved through better targeting of social benefits, notably the BRP universal pension. Reforming the VAT and PIT systems through streamlining of exemptions and allowances and reducing the tax payment threshold should also help. Given the room to make the allocation of social benefits and tax expenditures more tilted towards low-income households, it is estimated that the proposed measures may be implemented while continuing to protect the most vulnerable households.

Annex I. Regression Results

Annex I. Table 1. Mauritius: Regression Results, 2023

Dependent variable is the log of individual net income	
Unemployed	-1.0291*** (0.1532)
Age	0.0278*** (0.0016)
Agesq	-0.0002*** (0.0000)
Female	-0.2763*** (0.0094)
Primary ed. completion	0.1412*** (0.0179)
Secondary ed. completion	0.6166*** (0.0125)
Household size	-0.0170*** (0.0030)
Cyclone season	-0.0447*** (0.0112)
Pamplemousses	0.1036*** (0.0196)
Rivere du Rempart	0.1082*** (0.0214)
Flacq	0.0880*** (0.0203)
Grand Port	0.1145*** (0.0200)
Savannes	0.1349*** (0.0231)
Plaines Wilhems	0.1447*** (0.0172)
Moka	0.1421*** (0.0226)
Black River	0.0470** (0.0235)
Rodrigues	-0.0668** (0.0300)
Observations	14,497
R-squared	0.2618
F-test	230.14

***, **, and * denote statistical significance at 1, 5, and 10 percent, respectively.

Robust standard errors in parentheses

References

Republic of Mauritius (Statistics Mauritius). 2025. Poverty Analysis 2023.

Republic of Mauritius (Statistics Mauritius). 2020. Poverty Analysis 2017.

Statistics Mauritius. Mauritius Household Budget Survey 2023.

World Bank. Enterprise Survey Database: <https://www.enterprisesurveys.org/en/data> [Accessed in January 2025].

World Bank. World Development Indicators. <https://data.worldbank.org/indicator/SI.POV.UMIC>; [Accessed in April 2025].